

Sinjini Dass
ECON238
Homework 3

Github Link: <https://github.com/sdass3/econ238-portfolio>

EETT Brainstorm Log #1

1.

The topic our group is likely to focus on is data centers. During our conversation, I would describe the tone as a mix of surprise and curiosity. There was a lot I did not know about data centers and, for a while, I simply lumped them together with AI. I learned more through our discussion and my own research.

One aspect that was very unfamiliar to me was how concentrated the world's largest data centers are in the U.S. I expected a more even distribution, or at least for data centers to be more concentrated in Asia (China boasts two largest). Given their role in supporting a digital economy, this concentration makes the environmental impact significant for the U.S. Data centers compete for scarce resources, particularly electricity and land. These have opportunity costs: electricity used by a center cannot be used by another business or household. This helped me understand why data centers have become a unifying issue across parties.

Institutional context is also important because private companies can affect resources used by entire communities. A data center may bring jobs, investment, and tax revenue while increasing demand for local resources. This creates tradeoffs involving incentives and opportunity costs: what is a community willing to give up, and who should make that decision?

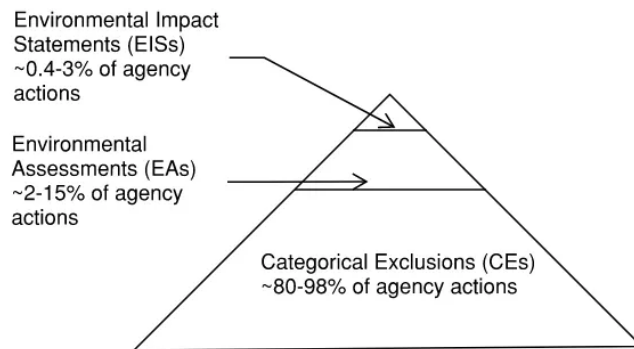
An idea from our discussion was the concentration of data centers. Economically, this made me think about why companies cluster in certain locations. Electricity prices, available land, and tax incentives can influence these decisions, while raising questions about whether market prices reflect the full costs of development.

Reading Responses/Reflections:

1. No, filing an EIS does not mean that a federal project is not going to have a negative environmental impact. As per the article, "EIS describes the proposed action, the likely environmental impacts of that action, alternatives to taking the action (typically including 'no action'), and plans for soliciting feedback from the public." An EIS is merely a procedural document where environmental actions/impacts and alternatives are discussed. A project can still be approved with negative impacts but there are certainly limitations to this. I was not even aware of what an EIS was before this. However, it does

make sense because certain projects that could have negative environmental effects may be beneficial in other regards.

2. Because NEPA applies to federal agencies and their projects, I would say that private companies do not need to comply with NEPA and file an EIS before starting large projects. If the private project becomes entangled with any sort of federal funding or actions then it likely does need NEPA approval.
3. Some federal projects can get out of needing to file an EIS by using processes on the lower end of the NEPA totem pole/pyramid. For projects whose actions don't have large environmental impact, categorical exclusions are satisfactory. Alternatively, Environmental Assessments are a next step high level overview of the project. No significant impacts result in a FONSI (Finding of No Significant Impact). For a summary of what I just said, here's the pyramid from the text.



- a. This system could definitely be gamed if agencies understate the impacts or consider them insignificant/minimizes the negative impacts. Something I could also see happening, granted this would be much more methodical is an agency filing reports for smaller steps of the project that would be easier to get passed one at a time. Communities where these projects are developed should be concerned about this because they would likely reap the environmental consequences of pollution, congestion etc. To put it simply, they'd be like guinea pigs.
4. The estimated share of project costs for the EIS was estimated to be "typically less than 1%." This could be an overstatement, in the sense that some costs that would have already been included via typical project planning are considered in the EIS costs. This makes the EIS cost higher than it should be. Similarly but not, the EIS cost is merely the monetary value of the EIS filing/preparation. Any slowdowns/cancellations aren't factored in.
5. I attended the discussion session. We spoke about the subjectivity of what is speedy and what is clean, as well as the tradeoff between the two. Based on the article, I think there is a tradeoff between having a clean economy and having a speedy transition: we can have a clean transition that takes time, or a faster transition that may not be as clean. It is clear that the NEPA process exists for a good reason, but it ultimately slows projects down and

can potentially hinder agencies' plans by requiring them to reconsider or even reject projects that could otherwise move forward. Any plan that genuinely aims to create a cleaner economy will take time because it needs to be carefully evaluated before it starts, monitored while it is underway, and assessed afterward. These are not the types of actions where agencies should simply be taken at their word because there can be environmental consequences that are not immediately obvious. For this reason, I think a truly speedy transition would likely come at the expense of having a completely clean economy.

6. One challenge to making the NEPA process move more quickly is the potential to overwhelm the organization handling the reviews. Some environmental reviews are simply meant to take time, so receiving a large number of proposals at once could overwhelm the process and ultimately have the opposite effect of speeding things up. I also think comprehensive reviews are necessary for large-scale projects because reducing the amount of time available for review could increase the chances of mistakes or important environmental impacts going unassessed.

7.

According to the Animal Welfare Institute, the Council on Environmental Quality (CEQ) rescinded its NEPA regulations in 2025, with the changes continuing into 2026. These adjustments gave federal agencies more flexibility in creating and revising their own NEPA processes, with the goal of making environmental review faster and more flexible.

There is a misunderstanding that NEPA itself was repealed, which is not the case. Environmental assessments (EAs) and environmental impact statements (EISs) are still required and agencies remain subject to judicial review. However, critics argue that removing the CEQ framework could reduce transparency and public involvement. From an economic perspective, this creates a tradeoff: faster review can reduce the costs of delay, but less review can also reduce information about environmental costs and make it easier for those costs to fall on communities. It could also make it easier for environmental costs to be overlooked. The Woodwell Climate Research Center, for example, highlighted how Alaska's construction projects had previously been guided to consider issues such as permafrost thaw and erosion. Without those considerations, projects could create costs that are difficult to anticipate or reverse.

Potter argues that NEPA became slow and expensive partly because agencies had an incentive to ensure their documents held up in court. Removing CEQ regulations does not remove the possibility of lawsuits. Agencies may spend less time complying with standardized procedures, but projects can still face litigation later.

I am also skeptical that deregulation alone solves the clean-energy and economy permitting problem. Environmental review can identify genuine environmental costs and provide public accountability, but lengthy delays can also prevent infrastructure from being built. The Aalo project illustrates the potential of a faster regulatory environment to enable new nuclear

development, but it cannot say that NEPA reform caused the project. Other regulatory and policy changes occur simultaneously. Ultimately, the challenge is finding a system that reduces unnecessary waits without simply foregoing necessary review.

Sources:

<https://awionline.org/awi-quarterly/summer-2025/ceq-guts-nepa-by-rescinding-regulations/>

<https://www.woodwellclimate.org/nepa-national-environmental-policy-act-public-comment/>

8 and 9. Synthesis

America has tried to get serious. What remains true is that if we want to build a serious environmental economy, things need to change. The United States has the technology and resources to move toward this economy, but additional factors, such as the amount of time it takes to build projects, prevent this from happening as quickly as it could. The central problem I will focus on is the role that government and institutions play in creating these delays.

One point of contention has been NEPA and the delays its environmental impact requirements have caused federal agencies. From Brian Potter's article, we learn what NEPA is and are first introduced to the initial delay. Potter explains how agencies became incentivized to create extremely thorough documents because of the threat of litigation. Doomberg takes this argument further, arguing that NEPA is part of a larger legal-industrial complex and that simply expediting NEPA could cause litigation barriers to appear elsewhere. Howard instead focuses on rebuilding American institutions that people can trust, while Dan Wang takes more of a compromise approach by seeking to reform both environmental regulation and the litigation process. Ultimately, they all recognize that the current system is inefficient, but they differ on how broadly it needs to be changed.

With this in mind, I would emphasize hard maximum deadlines for EAs and EISs. This would reduce lengthy delays while still keeping a regulatory process that can identify and potentially prevent environmentally harmful projects. Federal agencies would have to make decisions within a certain timeframe rather than constantly accounting for every possible legal issue. Courts would have explicit standards for determining whether an extension is justified. A standardized timeline could also attract investors by reducing uncertainty. Someone interested in funding a project would have a better idea of when construction could begin, making it easier to plan financing and potentially encouraging investment in infrastructure.

An objection is that some agencies may require more time to complete an EIS or EA. A strict deadline could cause agencies and even legal professionals to overlook environmental effects that may become apparent later. Local communities near these projects could ultimately bear the costs, particularly if they lose access to scarce resources or experience environmental

damage. This makes institutional trust important because people need to believe that agencies are making careful decisions rather than simply trying to meet a deadline.

Something my partner mentioned that influenced my thinking was corruption. I initially leaned heavily toward removing certain regulations, but I realized how easily a less regulated system could be corrupted. If agencies or individuals involved in permitting have too much discretion, developers with money or influence could potentially receive favorable treatment. This leaves me with an unresolved question: can we maintain or expedite the process without the threat of corruption?